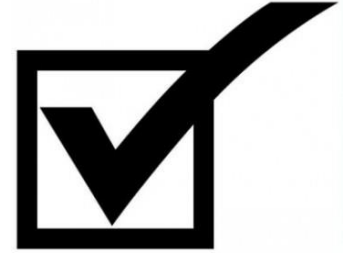


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



College Accounting (105)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (11 @ 3 points each) _____ (33 points)

Problem 1 – Multi-Step Income Statement _____ (30 points)

Problem 2 – Inventory Entries _____ (32 points)

TOTAL POINTS _____ (***125 points***)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice (2 points each; 30 points total)

1.	A
2.	D
3.	A
4.	C
5.	B
6.	A
7.	A
8.	D
9.	C
10.	C
11.	C
12.	A
13.	C
14.	C
15.	A

Short Answer (3 points each; 33 points total)

1.

What is the cost of goods sold?	\$25,900
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2.

What is the estimated Bad Debt Expense for the current year?	\$5,500
What will be the balance in Allowance for Doubtful Accounts?	\$5,000

3.

What is the estimate of bad debt expense?	\$36,000
What will be the balance in Allowance for Doubtful Accounts?	\$43,500

4.

Supplier A	Supplier B
\$196	\$237.80

5.

Calculate the cost of goods available for sale	\$20,400
Using the FIFO assumption, calculate the amount charged to cost of goods sold for March	\$13,600
Using the weighted-average method, what is the cost per unit available for sale after the 3/3 purchase?	\$ \$43.75
Using the LIFO assumption, calculate the amount assigned to the inventory on hand on March 31.	\$5,600

Problem 1: Multi-Step Income Statement (5 points each; 30 points total)

Net Sales	\$894,000
Gross Margin	260,700
Total Operating Expenses	172,100
Income from Operations	88,600
Income Before Taxes	83,600
Net Income	50,160

Problem 2: Inventory Entries (2 points each line of journal entries – one point for each account, one each amount (no points for date); 5 points for Net Sales and Gross Profit Percentage. 32 total points)

Two different companies, Green Corp. and Purple Inc., entered into the following inventory transactions during December. Both companies use a perpetual inventory system and the gross method for purchases and sales.

Prepare the journal entries to record these transactions on the books of Green Corp.

December 3 – Green Corporation sold inventory on account to Purple Inc. for \$240,000, terms 2/10, n/30. This inventory originally cost Green \$160,000.

Date	Account Description	Debit	Credit
Dec. 3	Accounts Receivable	240,000	
	Sales Revenue		240,000
	Cost of Goods Sold	160,000	
	Inventory		160,000

December 8 – Purple Inc. returned inventory to Green Corp. for a credit of \$15,000. Green returned these items to inventory at their original cost of \$10,000.

Date	Account Description	Debit	Credit
Dec. 8	Sales Returns & Allowances	15,000	
	Accounts Receivable		15,000
	Inventory	10,000	
	Cost of Goods Sold		10,000

December 12 – Purple Inc. paid Green Corp. for the amount owed.

Date	Account Description	Debit	Credit
Dec. 12	Cash	220,500	
	Sales Discounts	4,500	
	Accounts Receivable		225,000

What is the amount of net sales to be reported on Green Corp.'s income statement?	\$220,500
What is the Green Corp.'s gross profit percentage? (Round to two decimal places)	31.97%